

THE TAX (WO)MAN

Because I'm considered a freelancer and now make more money than I've ever made in the past, my taxes were a whopping \$10,000 this year. This had never happened to me before. Usually I got a refund, or if I had to pay anything, I'd go on a payment plan to pay it off in small amounts. When I expressed shock that my taxes were now so high, Allison laughed at me: "You've had money for one day, and you're already a Republican." (That was before I learned about all the great stuff taxes pay for—for example, roads, schools, infrastructure, food stamps, and other government assistance. I am sorry for my initial reaction.)

I had a lot to learn about taxes. In 2016, my accountant Dan Frattali told me to go through my bank statements for the previous year to see what would be possible to write off. I'd never done this before, and I kept procrastinating because I just didn't want to do it. I drank cold coffee. I replied to my friend Alexis on Twitter. I stood up and walked around. I thought about putting on socks. I would have rather had someone break into my apartment and punch me in the face so I could deal with the immediate fallout of *that* rather than continue to go through these bank statements.

Taxes make my brain explode. Even the breakdown in *Personal Finance for Dummies* is too confusing for me. (What does that make *me*?)

Here's what I've discovered in my research:

Because I live in California, I pay both state income and federal income taxes. My parents in Florida pay only federal because Florida is one of a few states that doesn't have a state income tax. (They love that.) *Dummies* says you should try to minimize the amount of taxes you pay by reducing your taxable income or increasing your deductions. Deductions are decreases to your taxable income that come in the form of expenses, especially expenses that resulted in more income—for example, writing off business travel or lunches with clients. These can be removed from how much you end up paying in taxes. The Internal